

## Analysis of Output Table:

|    | A            | B               | C                     | D                                     | E                                        | F        |
|----|--------------|-----------------|-----------------------|---------------------------------------|------------------------------------------|----------|
| 1  | ISIN         | Settlement Date | Net Settlement Amount | Internal Ledger.Net Settlement Amount | External Statement.Net Settlement Amount | Variance |
| 5  | US1234567890 | 15/06/2026 0:00 | 3000000               | 3000000                               | 0                                        | 3000000  |
| 6  | US1234567890 | 16/06/2026 0:00 | 3000000               | 0                                     | 3000000                                  | -3000000 |
| 7  | GB0001383545 | 12/06/2026 0:00 | -620000               | -620000                               | 0                                        | -620000  |
| 8  | IE00B4BNMY34 | 12/06/2026 0:00 | 1500000               | 1500000                               | 0                                        | 1500000  |
| 9  | GB0001383545 | 12/06/2026 0:00 | -620050               | 0                                     | -620050                                  | 620050   |
| 10 | LU0999999999 | 12/06/2026 0:00 | 750000                | 0                                     | 750000                                   | -750000  |

### Issue 1: Timing break

For Security US1234567890, a positive variance of 3,000,000 occurs on the 15/06/2026 and a negative variance of – 3,000,000 on 16/06/2026.

**Root Cause:** The trade was booked internally to settle on the 15<sup>th</sup> but the external office didn't clear the cash until the next day.

**Operational Risk:** Even though the variance equals out to 0 over 48 hours, it create a short term liquidity issue. The firm thought it had 3,000,000 to use on the 15<sup>th</sup> that wasn't there.

**Action:** Contact the Cash Management desk, to inform them that the 3,000,000 was delayed a day, so they can cover any funding gaps.

**Escalation:** Check the next day that the trade successfully settled on the 16<sup>th</sup>.

### Issue 2: Unmatched Trade Breaks

IE00B4BNMY34 the Internal Ledger expects 1,500,000 but the External Statement returns 0, causing a 1,500,000 variance.

**Root Cause:** The front office booked a trade internally but the execution failed to reach the clearing house.

**Action:** Check the middle office to see if the trade is stuck.

**Escalation:** Re send the Settlement Instruction to the clearing house to ensure the trade doesn't completely fail.

LU0999999999 The External Statement shows a settled amount of 750,000 but the Internal Ledger shows 0, causing a variance of 750,000.

**Root Cause:** The clearing house settled a transaction but the trading desk didn't book it internally.

**Operational Risk:** This leaves the company financially exposed.

**Action:** Contact the front office trading desk immediately. Give them the ISIN and transaction details. Request they book the corresponding trade tickets to square the books.

### Issue 3: Financial Discrepancy

Security GB0001383545 shows an internal trade of – 620,000, the external trade shows 620,050.

**Root Cause:** The Security amounts match but there is a discrepancy of 50 between what was booked and what was settled. This looks like a calculation error.

**Action:** Request a trade conformation settlement, compare the fee structure and find where the 50 variance came from. Book a cash adjustment ticket to resolve the issue.

